

Financial Dimensions in D365 F&O – The Foundation of Finance

Financial dimensions form the core of the financial setup in **Dynamics 365 Finance**. Without this foundational configuration, financial postings cannot be executed — which means most business processes in the system cannot function.

Since almost every ERP transaction automatically generates a financial posting in the background, a properly structured financial dimension setup is essential to ensure smooth and accurate operations.

Understanding Main Accounts & Financial Dimensions in D365FO

When setting up the financial foundation in **Dynamics 365 Finance & Operations**, two elements play a critical role: **Main Accounts** and **Financial Dimensions**.

Main accounts represent categories of financial activity — such as balances, income, and expenses — that form the structure of financial reporting. Financial dimensions, on the other hand, provide additional identifiers that allow organizations to classify transactions more precisely.

For example:

- Main Account X → *Cleaning Costs*
- Main Account Y → *Salary Costs*

These accounts help distinguish different types of expenses. However, to analyze costs more meaningfully, financial dimensions such as **Department** can be applied.

Consider this scenario:

- Cleaning Costs: USD 100
 - Finance Department: USD 20
 - Sales Department: USD 80
- Salary Costs: USD 20,000
 - Finance Department: USD 7,500
 - Sales Department: USD 12,500

With this structure, organizations gain visibility not only into **what type of cost** is incurred, but also **which department** is responsible for it. This level of granularity is essential for accurate analysis, budgeting, and management reporting.

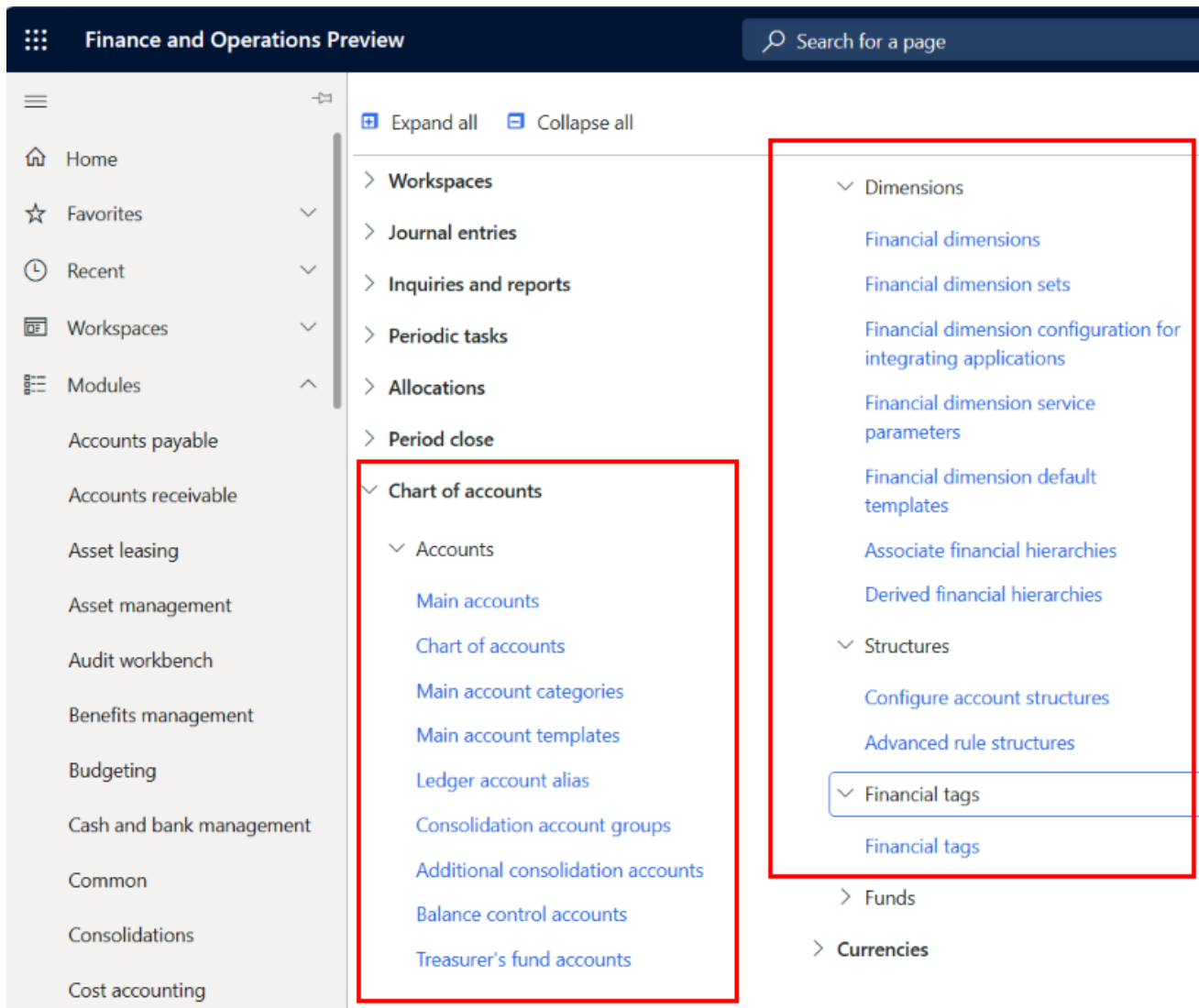
Choosing Main Accounts & Financial Dimensions in D365 F&O

Organizations determine the combination of **main accounts and financial dimensions** in D365 F&O based on their specific reporting requirements and regulatory obligations within their country

or region. The ultimate objective is to accurately reflect the organization's financial position — balances, income, and expenses — in a structured and meaningful way.

Because financial reporting is the end goal, it must always guide the design of the chart of accounts and dimension structure. The setup should support both operational visibility and statutory compliance.

Within **Dynamics 365 Finance**, these configurations are managed in the **General Ledger module**, specifically under the **Chart of Accounts** section, where main accounts and financial dimensions are defined and controlled.



The screenshot displays the Dynamics 365 Finance and Operations Preview interface. The left sidebar contains the navigation menu, with 'Modules' expanded. The main area shows the 'Chart of Accounts' section under 'General Ledger'. Two red boxes highlight specific areas:

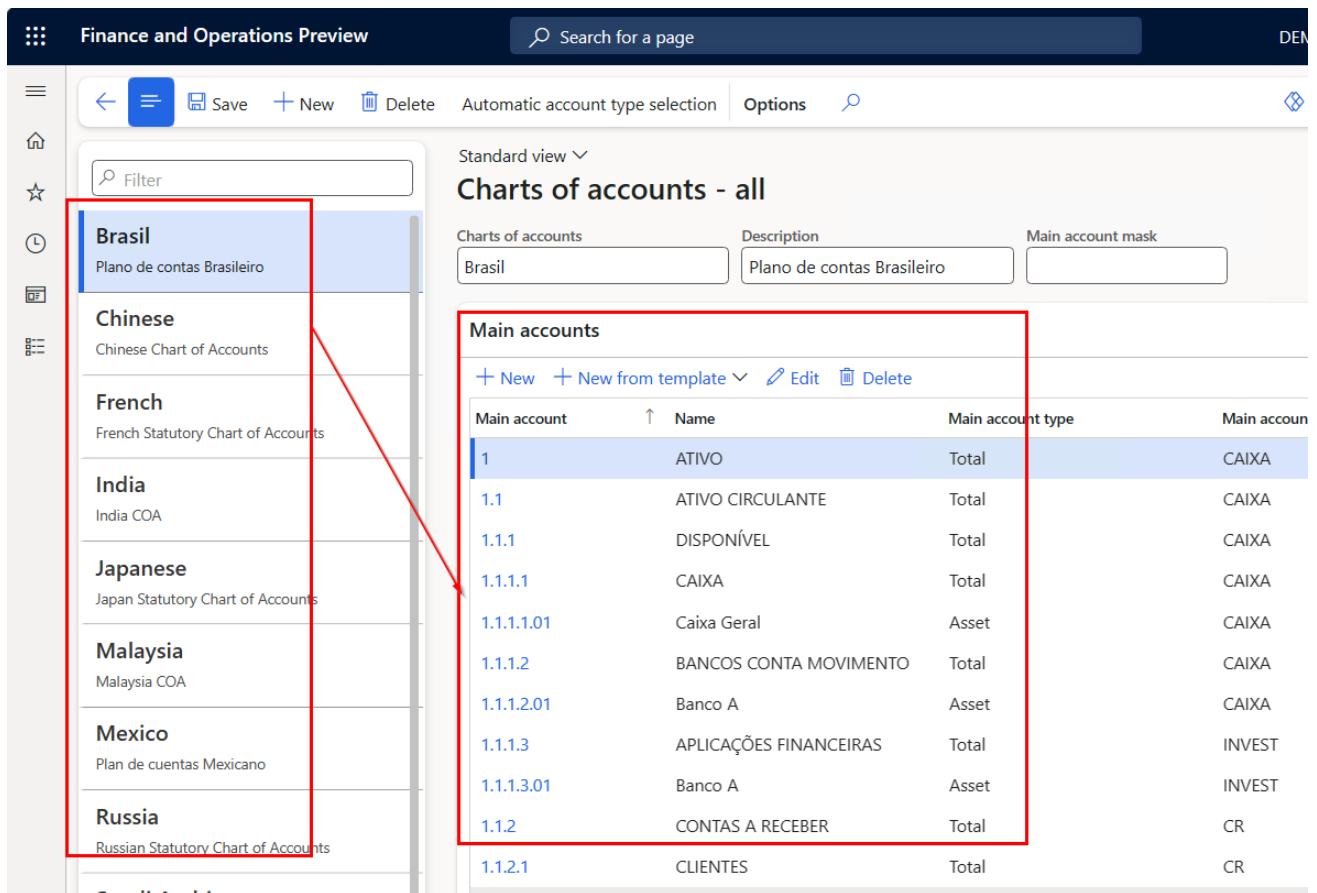
- Chart of Accounts Section:** This section is highlighted by a red box and includes the following items:
 - Accounts
 - Main accounts
 - Chart of accounts
 - Main account categories
 - Main account templates
 - Ledger account alias
 - Consolidation account groups
 - Additional consolidation accounts
 - Balance control accounts
 - Treasurer's fund accounts
- Dimensions and Financial Tags Section:** This section is also highlighted by a red box and includes the following items:
 - Dimensions
 - Financial dimensions
 - Financial dimension sets
 - Financial dimension configuration for integrating applications
 - Financial dimension service parameters
 - Financial dimension default templates
 - Associate financial hierarchies
 - Derived financial hierarchies
 - Structures
 - Configure account structures
 - Advanced rule structures
 - Financial tags
 - Financial tags

Within the **Accounts** section of the General Ledger module, you will find the configurations related to **main accounts**.

◆ Chart of Accounts

Starting with the **Chart of Accounts**, this form contains the different structures of main accounts available within the D365 F&O environment. It provides an overview of all account lists that can be used across the system.

An important aspect to note is that the Chart of Accounts is **shared across legal entities**. This means multiple companies within the same environment can reference the same account structure, ensuring consistency and standardized financial reporting across the organization.



The screenshot shows the 'Charts of accounts - all' view for 'Brasil'. The left sidebar lists various charts of accounts for different countries, with 'Brasil' selected. The main area shows the 'Charts of accounts - all' view for 'Brasil', displaying a table of main accounts.

Main account	Name	Main account type	Main account
1	ATIVO	Total	CAIXA
1.1	ATIVO CIRCULANTE	Total	CAIXA
1.1.1	DISPONÍVEL	Total	CAIXA
1.1.1.1	CAIXA	Total	CAIXA
1.1.1.1.01	Caixa Geral	Asset	CAIXA
1.1.1.2	BANCOS CONTA MOVIMENTO	Total	CAIXA
1.1.1.2.01	Banco A	Asset	CAIXA
1.1.1.3	APLICAÇÕES FINANCEIRAS	Total	INVEST
1.1.1.3.01	Banco A	Asset	INVEST
1.1.2	CONTAS A RECEBER	Total	CR
1.1.2.1	CLIENTES	Total	CR

Each **Chart of Accounts** contains the main accounts used to record balances, income, and expenses. Within the **Ledger setup** of a legal entity, you define which Chart of Accounts will apply to that specific company, ensuring the correct financial structure is used for postings and reporting.

Finance and Operations Preview Search for a page

← Save Ledger calendar Recalculate ledger periods Change chart of accounts Option

Standard view ▾

Ledger

Description: io Entertainment System Germany

Chart of accounts: Shared

Fiscal calendar: Fiscal ▾

Account structures

+ Add ▾ Remove Configure account structures

Account structure	Name
Manufacturing B/S	Manufacturing Balance Sheet
Manufacturing P&L	Manufacturing Profit and Loss

Once the Chart of Accounts is selected, the corresponding list of main accounts becomes available for use.

◆ Main Accounts

In the **Main Accounts** form within the General Ledger module, you configure the detailed settings for each account. Most configurations are shared across all legal entities that use the same Chart of Accounts, ensuring consistency. However, the **Legal Entity Override** section allows company-specific adjustments where required.

Finance and Operations Preview

Search for a page

DEMO

Standard view

Main accounts - chart of accounts: Shared

General

Σ Totals Assign template Additional consolidation accounts Currency code validation

IDENTIFICATION

Main account: 110110

Name: Bank Account - USD

LEDGER

Main account type: Asset

Reporting type

Main account category: CASH

DB/CR default: Debit

DB/CR requirement:

Balance control:

RELATED ACCOUNTS

Offset account:

Opening account:

ADMINISTRATION

Do not allow manual entry: ☐

Active from:

Active to

☐ Suspended

Field to transfer balance on closing sh...:

Close type: Not applicable

CURRENCY

Default Currency:

Validate currency code: Optional

Foreign currency revaluation: ☒ Yes

Exchange rate type:

Reporting currency exchange rate:

CONSOLIDATION

Default consolidation account:

Legal entity overrides

+ Add - Remove Default dimensions Allocation terms Sales tax Cash flow forecast

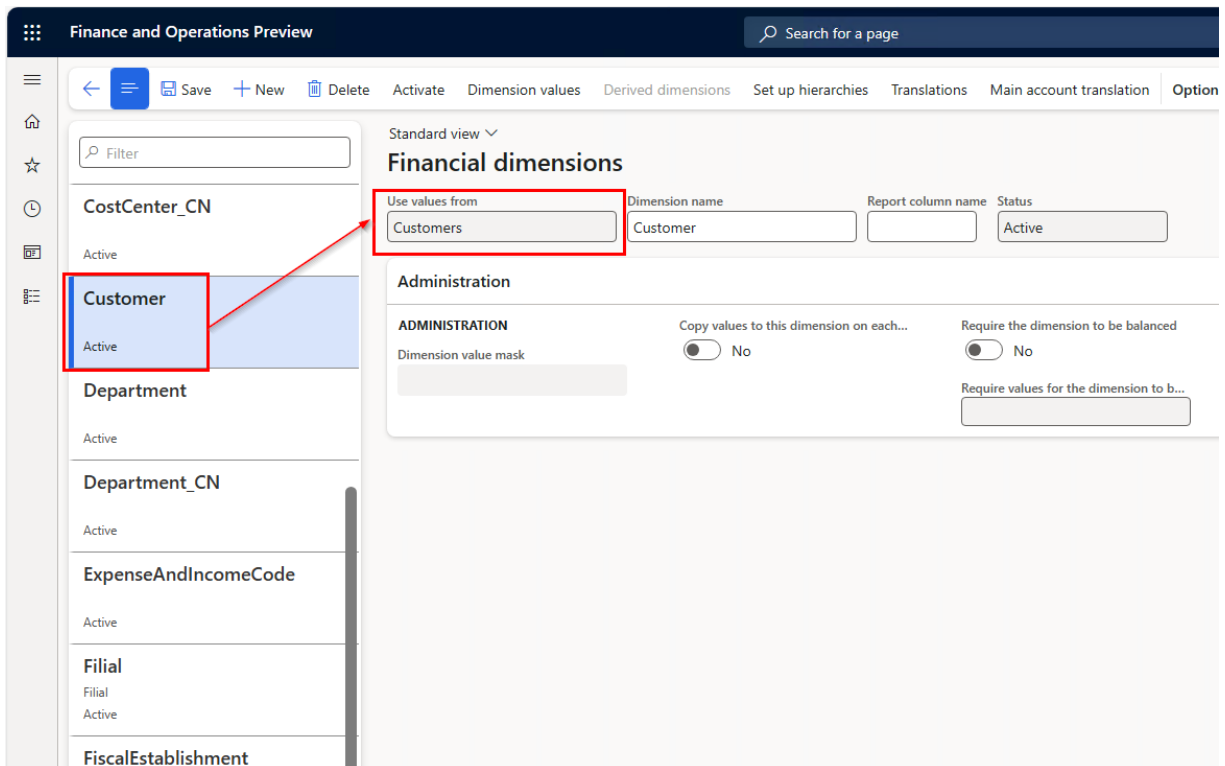
Legal entity	Name	Suspended	Active from	Active to	Allocation	Exchange rate type	Reporting currency excha...	Do n
USMF	Contoso Entertainment System ...	☐			☐			☐

In the **Legal Entity Override** section, company-specific settings can be defined for selected legal entities, allowing flexibility within a shared chart of accounts structure.

◆ Financial Dimensions

To further classify postings, financial dimensions can be created at a shared level in D365 F&O. These dimensions help add additional detail to main account transactions.

Each financial dimension must have a defined value source, which can be linked to existing tables — for example, linking a **Customer** dimension to the Customers table to automatically use customer records as dimension values.



Finance and Operations Preview

Search for a page

Standard view

Financial dimensions

Use values from: Customers

Dimension name: Customer

Report column name:

Status: Active

Administration

ADMINISTRATION

Copy values to this dimension on each...: No

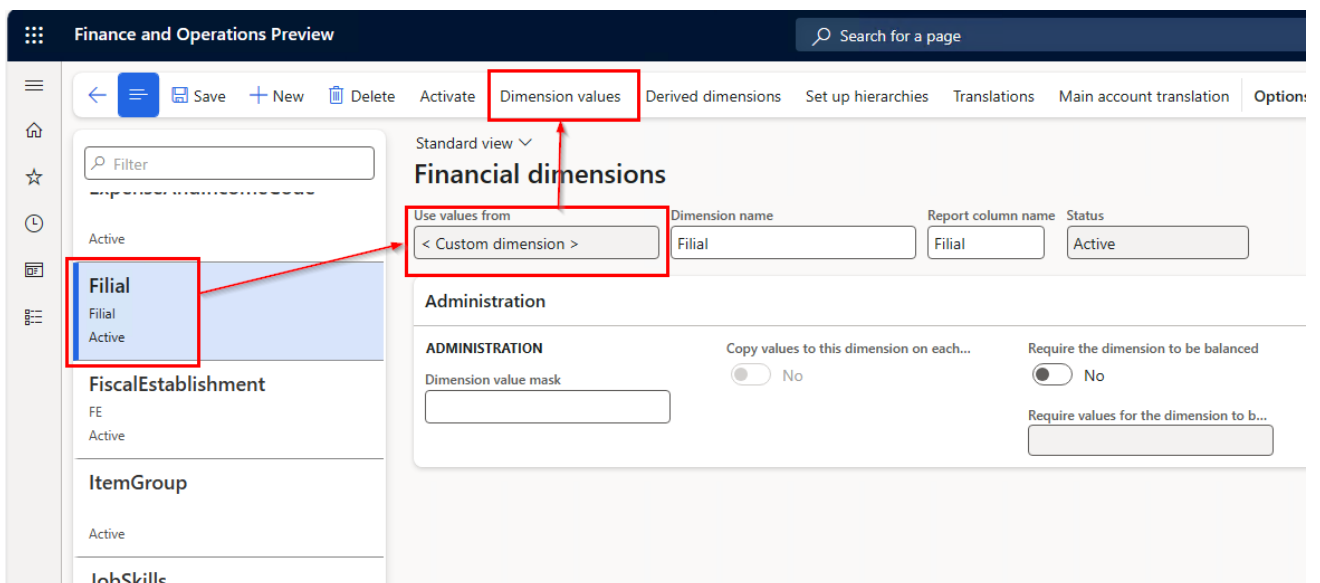
Require the dimension to be balanced: No

Require values for the dimension to b...

Left sidebar items: CostCenter_CN, Customer, Department, Department_CN, ExpenseAndIncomeCode, Filial, FiscalEstablishment

In some cases, the required financial dimension values may not exist in standard D365 F&O tables. In such scenarios, you can create a < **Custom dimension** > and define the necessary values manually.

These custom values can be maintained through the **Dimension Values** form, allowing organizations to tailor financial classifications to their specific reporting and analytical needs.



Finance and Operations Preview

Search for a page

Standard view

Financial dimensions

Use values from: < Custom dimension >

Dimension name: Filial

Report column name: Filial

Status: Active

Administration

ADMINISTRATION

Copy values to this dimension on each...: No

Require the dimension to be balanced: No

Require values for the dimension to b...

Left sidebar items: Filial, FiscalEstablishment, ItemGroup, JobSkills

I'm often asked: *How many financial dimensions should we use in D365 F&O?*

My answer is always the same: it depends on what additional characteristics — beyond main accounts — are truly required for financial reporting. The reporting requirements, whether driven by internal management needs or regulatory obligations, determine the appropriate dimension structure. These needs can vary significantly by organization, industry, or country.

In some scenarios, financial dimensions can also support the mapping between internal and statutory reporting. For example, when a company operates across multiple countries with a standardized internal chart of accounts but must comply with country-specific statutory charts, dimensions can help bridge this gap. By mapping internal main accounts to local equivalents via financial dimensions, organizations can maintain a unified internal structure while meeting local compliance requirements. However, it's important to consider the impact on Electronic Reporting, which is often based primarily on main account values.

◆ Account Structures: Combining Main Accounts and Dimensions

Once main accounts and financial dimensions are defined, the next step is configuring how they work together. Not every dimension is relevant for every main account, and some dimensions may be mandatory while others are optional.

This is managed through **Configure Account Structures**, where you define groups of main accounts and specify which financial dimensions apply — including whether certain dimensions are required and whether specific value combinations must be enforced.

Account structures | Standard view

Manufacturing P&L Description: Manufacturing Profit and Loss Status: Active

Segments and allowed values

+ Add - Remove Duplicate Validate Add segment Segment actions

☐ Only show overlapping rows

MainAccount	BusinessUnit	Department	CostCenter	ItemGroup	Active from	Active to
400000.999999	"",x	"",022	"",007..008	"",x		
400000.999999	"",x	023	"",009..012	"",x		
400000.999999	"",x	024	"",013..014	"",x		
400000.999999	"",x	025..034	"",007..014	"",x		

In the example above, a blank value (" ") indicates that the financial dimension is **optional**, meaning it can be used for postings but is not mandatory for that specific account structure.

Account structures | Standard view ▾

Manufacturing P&L

Segments and allowed values

[+ Add](#)
[Remove](#)
[Duplicate](#)
[Validate](#)
[Add segment](#)
[Segment actions ▾](#)

☐ Only show overlapping rows

☐	MainAccount	BusinessUnit	Department
☒	400000..999999	"";*	"";022
	400000..999999	"";*	023
	400000..999999	"";*	024
	400000..999999	"";*	025..034

Allowed value details

☒ Blank values are allowed
("")

The “*” value indicates that **all financial dimension values** are permitted for that specific group of main accounts.

As mentioned earlier, within the **Ledger setup** you define which **Chart of Accounts** applies to a legal entity. In the same configuration, you also assign the relevant **Account Structures**, ensuring the correct combination of main accounts and financial dimensions is enforced for financial postings.

Standard view ▾

Ledger

Description: :o Entertainment System Germany

Chart of accounts: Shared

Fiscal calendar: Fiscal ▾

Balancing financial dimension: ▾

Account structures

+ Add ▾ Remove Configure account structures

Account structure	Name
Manufacturing B/S	Manufacturing Balance Sheet
Manufacturing P&L	Manufacturing Profit and Loss

When both configurations — **Chart of Accounts** and **Account Structures** — are properly set up, main accounts and financial dimensions can work together seamlessly for financial postings.

Although both the Chart of Accounts and Account Structures are configured at a **shared level**, each legal entity can define its own combination. This provides flexibility. For example, you may use the same Chart of Accounts across multiple companies while applying different Account Structures to accommodate varying financial dimension requirements.